

Global MBA Case Study Reports

29 Business Decisions and Turnarounds

Innovation Analytics Lab

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1 Coca-Cola's New Coke Disaster

GMBA Case Study Report (1985)

1.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **The Coca-Cola Company's** coca-cola's new coke disaster. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* The Coca-Cola Company needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: "Can market research ever capture emotional brand attachment?"

1.2 Background & Context

1.2.1 Industry Landscape and Market Environment

Coca-Cola replaced its flagship formula after taste-test research suggested consumers preferred a sweeter cola, then reversed course after a public backlash over the loss of Coca-Cola Classic. The surrounding industry environment made the decision more difficult because com-

petitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

1.2.2 Company's Strategic Position

The Coca-Cola Company entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

1.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

1.3 Core Issues

1.3.1 Business Problem Definition

The core business problem is how The Coca-Cola Company should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Brand equity, consumer psychology, market research limits, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

1.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

1.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

1.4 Data Science / Big Data Perspectives

1.4.1 Data Landscape

1.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

1.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

1.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

1.4.2 Analytical Approaches

1.4.2.1 Applicable Techniques

Technique	Application at The Coca-Cola Company
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

1.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

1.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

1.4.3 Ethical Considerations

1.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

1.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

1.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

1.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

1.6 Debate Framework

1.6.1 Pro Side (Affirmative)

“Can market research ever capture emotional brand attachment?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Brand equity, consumer psychology, market research limits provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

1.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

1.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

1.8 References (APA 7th Edition)

- Aaker, D. A., & Keller, K. L. (1990). Consumer evaluations of brand extensions. *Journal of Marketing*, 54(1), 27-41. <https://doi.org/10.1177/002224299005400102>
 - Relevance: Provides the brand-extension logic used to analyze when a famous brand can stretch beyond its original category.

- Keller, K. L. (1993). Conceptualizing, measuring, and managing customer-based brand equity. *Journal of Marketing*, 57(1), 1-22. <https://doi.org/10.1177/002224299305700101>
 - Relevance: Supplies the customer-based brand equity framework used to evaluate emotional attachment and brand trust.
- Hauser, J. R., & Shugan, S. M. (1983). Defensive marketing strategies. *Marketing Science*, 2(4), 319-360. <https://doi.org/10.1287/mksc.2.4.319>
 - Relevance: Supports the competitive-response analysis of Pepsi, taste tests, and defensive brand strategy.
- Rothman, L. (2015, April 23). Here's what New Coke tasted like. *TIME*. <https://time.com/3822869/new-coke-history/>
 - Relevance: Documents the New Coke chronology and consumer reaction for class-room discussion.

2 LEGO's Near-Bankruptcy Turnaround

GMBA Case Study Report (2003-2015)

2.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **The LEGO Group's** lego's near-bankruptcy turnaround. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* The LEGO Group needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: "When should companies cut successful product lines, and how do they know they have over-extended?"

2.2 Background & Context

2.2.1 Industry Landscape and Market Environment

LEGO nearly collapsed after expanding into too many products and adjacencies, then recovered by cutting complexity and rebuilding around the core brick system. The surrounding industry

environment made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

2.2.2 Company's Strategic Position

The LEGO Group entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

2.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

2.3 Core Issues

2.3.1 Business Problem Definition

The core business problem is how The LEGO Group should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Corporate turnaround, focus strategy, brand extension limits, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

2.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

2.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

2.4 Data Science / Big Data Perspectives

2.4.1 Data Landscape

2.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

2.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

2.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

2.4.2 Analytical Approaches

2.4.2.1 Applicable Techniques

Technique	Application at The LEGO Group
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

2.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

2.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

2.4.3 Ethical Considerations

2.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

2.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

2.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

2.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

2.6 Debate Framework

2.6.1 Pro Side (Affirmative)

“When should companies cut successful product lines, and how do they know they have over-extended?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Corporate turnaround, focus strategy, brand extension limits provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

2.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

2.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

2.8 References (APA 7th Edition)

- Kogut, B., & Zander, U. (1996). What firms do? Coordination, identity, and learning. *Organization Science*, 7(5), 502-518. <https://doi.org/10.1287/orsc.7.5.502>
 - Relevance: Supports the argument that LEGO's recovery depended on organizational coordination and identity.

- Muniz, A. M., Jr., & O'Guinn, T. C. (2001). Brand community. *Journal of Consumer Research*, 27(4), 412-432. <https://doi.org/10.1086/319618>
 - Relevance: Provides a scholarly basis for analyzing LEGO fan communities as strategic assets.
- Van de Ven, A. H. (1986). Central problems in the management of innovation. *Management Science*, 32(5), 590-607. <https://doi.org/10.1287/mnsc.32.5.590>
 - Relevance: Frames the organizational challenge of balancing experimentation, governance, and implementation discipline.
- Teece, D. J., Pisano, G., & Shuen, A. (1997). Dynamic capabilities and strategic management. *Strategic Management Journal*, 18(7), 509-533.
 - Relevance: Supports the analysis of how firms renew capabilities when technologies, markets, or business models shift.
- Robertson, D. C., & Breen, B. (2013). *Brick by brick: How LEGO rewrote the rules of innovation and conquered the global toy industry*. Crown Business.
 - Relevance: Supplies the main case-specific narrative on LEGO's overextension and turnaround.

3 Samsung Galaxy Note 7 Explosions

GMBA Case Study Report (2016)

3.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Samsung Electronics's** samsung galaxy note 7 explosions. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Samsung Electronics needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Should Samsung have killed the Note brand entirely, and how did it recover trust?”

3.2 Background & Context

3.2.1 Industry Landscape and Market Environment

Galaxy Note 7 batteries overheated and caught fire, forcing recalls, flight bans, and the discontinuation of a flagship product. The surrounding industry environment made the decision

more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

3.2.2 Company's Strategic Position

Samsung Electronics entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

3.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

3.3 Core Issues

3.3.1 Business Problem Definition

The core business problem is how Samsung Electronics should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Crisis management, quality control, supply chain pressure, product recall, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

3.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

3.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
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3.4 Data Science / Big Data Perspectives

3.4.1 Data Landscape

3.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
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- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

3.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

3.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

3.4.2 Analytical Approaches

3.4.2.1 Applicable Techniques

Technique	Application at Samsung Electronics
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

3.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

3.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

3.4.3 Ethical Considerations

3.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

3.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

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Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

3.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

3.6 Debate Framework

3.6.1 Pro Side (Affirmative)

“Should Samsung have killed the Note brand entirely, and how did it recover trust?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Crisis management, quality control, supply chain pressure, product recall provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

3.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

3.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

3.8 References (APA 7th Edition)

- Coombs, W. T. (2007). Protecting organization reputations during a crisis: The development and application of situational crisis communication theory. *Corporate Reputation Review*, 10(3), 163-176. <https://doi.org/10.1057/palgrave.crr.1550049>
 - Relevance: Provides a crisis-communication framework for assessing responsibility, response speed, and reputation recovery.

- Reason, J. (1990). *Human error*. Cambridge University Press.
 - Relevance: Supports the analysis of how complex systems fail through layered human, process, and organizational weaknesses.
- Van de Ven, A. H. (1986). Central problems in the management of innovation. *Management Science*, 32(5), 590-607. <https://doi.org/10.1287/mnsc.32.5.590>
 - Relevance: Frames the organizational challenge of balancing experimentation, governance, and implementation discipline.
- Teece, D. J., Pisano, G., & Shuen, A. (1997). Dynamic capabilities and strategic management. *Strategic Management Journal*, 18(7), 509-533.
 - Relevance: Supports the analysis of how firms renew capabilities when technologies, markets, or business models shift.
- U.S. Consumer Product Safety Commission. (2016). *Samsung recalls Galaxy Note7 smartphones due to serious fire and burn hazards*. <https://www.cpsc.gov/Recalls/2016/samsung-recalls-galaxy-note7-smartphones>
 - Relevance: Provides official recall facts and safety-risk framing.
- Samsung Newsroom. (2017). *Samsung Electronics announces cause of Galaxy Note7 incidents in press conference*. <https://news.samsung.com/global/samsung-electronics-announces-cause-of-galaxy-note7-incidents-in-press-conference>
 - Relevance: Documents Samsung's stated root-cause explanation and corrective actions.

4 Volkswagen Dieselgate

GMBA Case Study Report (2015)

4.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Volkswagen Group's** Volkswagen Dieselgate. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Volkswagen Group needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Who is responsible: engineers, managers, or executives who created the pressure?”

4.2 Background & Context

4.2.1 Industry Landscape and Market Environment

Volkswagen used defeat-device software to cheat diesel-emissions tests, triggering criminal, regulatory, financial, and reputational consequences. The surrounding industry environment

made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

4.2.2 Company's Strategic Position

Volkswagen Group entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

4.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

4.3 Core Issues

4.3.1 Business Problem Definition

The core business problem is how Volkswagen Group should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Corporate fraud, environmental ethics, organizational pressure, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

4.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

4.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

4.4 Data Science / Big Data Perspectives

4.4.1 Data Landscape

4.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

4.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

4.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

4.4.2 Analytical Approaches

4.4.2.1 Applicable Techniques

Technique	Application at Volkswagen Group
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

4.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

4.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

4.4.3 Ethical Considerations

4.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

4.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

4.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

4.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

4.6 Debate Framework

4.6.1 Pro Side (Affirmative)

“Who is responsible: engineers, managers, or executives who created the pressure?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Corporate fraud, environmental ethics, organizational pressure provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

4.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

4.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

4.8 References (APA 7th Edition)

- Jensen, M. C., & Meckling, W. H. (1976). Theory of the firm: Managerial behavior, agency costs and ownership structure. *Journal of Financial Economics*, 3(4), 305-360. <https://doi.org/10.1016/0304-405X%2876%2990026-X>
 - Relevance: Frames the governance problem created when managers, founders, investors, or boards have misaligned incentives.

- Fama, E. F., & Jensen, M. C. (1983). Separation of ownership and control. *Journal of Law and Economics*, 26(2), 301-325. <https://doi.org/10.1086/467037>
 - Relevance: Supports the analysis of board oversight, control rights, and monitoring failure.
- Siano, A., Vollero, A., Conte, F., & Amabile, S. (2017). More than words: Expanding the taxonomy of greenwashing after the Volkswagen scandal. *Journal of Business Research*, 71, 27-37. <https://doi.org/10.1016/j.jbusres.2016.11.002>
 - Relevance: Connects Dieselgate to greenwashing, stakeholder trust, and environmental communications.
- U.S. Environmental Protection Agency. (n.d.). *Volkswagen violations*. <https://www.epa.gov/vw>
 - Relevance: Provides official U.S. regulatory documentation of the emissions violations.

5 Blockbuster Rejects Netflix

GMBA Case Study Report (2000)

5.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Blockbuster's** blockbuster rejects netflix. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Blockbuster needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Was Netflix’s threat predictable, and what should Blockbuster have done differently?”

5.2 Background & Context

5.2.1 Industry Landscape and Market Environment

Blockbuster failed to acquire Netflix and continued defending a store-based rental model while streaming and subscription economics reshaped home entertainment. The surrounding industry

environment made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

5.2.2 Company's Strategic Position

Blockbuster entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

5.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

5.3 Core Issues

5.3.1 Business Problem Definition

The core business problem is how Blockbuster should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Disruption, strategic myopia, business model innovation, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

5.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

5.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

5.4 Data Science / Big Data Perspectives

5.4.1 Data Landscape

5.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

5.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

5.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

5.4.2 Analytical Approaches

5.4.2.1 Applicable Techniques

Technique	Application at Blockbuster
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

5.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

5.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

5.4.3 Ethical Considerations

5.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

5.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

5.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

5.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

5.6 Debate Framework

5.6.1 Pro Side (Affirmative)

“Was Netflix’s threat predictable, and what should Blockbuster have done differently?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Disruption, strategic myopia, business model innovation provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

5.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

5.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

5.8 References (APA 7th Edition)

- Christensen, C. M. (1997). *The innovator's dilemma: When new technologies cause great firms to fail*. Harvard Business School Press.
 - Relevance: Provides the core theory for explaining why incumbents ignore or underfund disruptive entrants.

- Henderson, R. M., & Clark, K. B. (1990). Architectural innovation: The reconfiguration of existing product technologies and the failure of established firms. *Administrative Science Quarterly*, 35(1), 9-30. <https://doi.org/10.2307/2393549>
 - Relevance: Explains how established firms can miss threats that alter system architecture rather than only component technology.
- Rochet, J.-C., & Tirole, J. (2003). Platform competition in two-sided markets. *Journal of the European Economic Association*, 1(4), 990-1029. <https://doi.org/10.1162/154247603322493212>
 - Relevance: Provides the two-sided-market framework used to evaluate platform pricing, access, and governance decisions.
- Parker, G., Van Alstyne, M., & Choudary, S. P. (2016). *Platform revolution: How networked markets are transforming the economy*. W. W. Norton.
 - Relevance: Explains platform design tradeoffs among users, producers, governance rules, and network effects.
- Netflix, Inc. (n.d.). *Annual reports and proxies*. <https://ir.netflix.net/financials/annual-reports-and-proxies/default.aspx>
 - Relevance: Provides official Netflix financial history for comparing the rejected acquisition with later scale.

6 Kodak Invented the Digital Camera, Then Died

GMBA Case Study Report (1975-2012)

6.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Eastman Kodak's** kodak invented the digital camera, then died. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Eastman Kodak needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Should companies kill their own cash cows before competitors do?”

6.2 Background & Context

6.2.1 Industry Landscape and Market Environment

Kodak had early digital imaging capabilities but protected the film business too long, eventually filing for Chapter 11 bankruptcy. The surrounding industry environment made the decision

more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

6.2.2 Company's Strategic Position

Eastman Kodak entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

6.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

6.3 Core Issues

6.3.1 Business Problem Definition

The core business problem is how Eastman Kodak should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Innovator's dilemma, cannibalization fear, strategic inertia, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

6.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

6.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

6.4 Data Science / Big Data Perspectives

6.4.1 Data Landscape

6.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

6.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

6.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

6.4.2 Analytical Approaches

6.4.2.1 Applicable Techniques

Technique	Application at Eastman Kodak
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

6.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

6.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

6.4.3 Ethical Considerations

6.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

6.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

6.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

6.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

6.6 Debate Framework

6.6.1 Pro Side (Affirmative)

“Should companies kill their own cash cows before competitors do?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Innovator’s dilemma, cannibalization fear, strategic inertia provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

6.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

6.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

6.8 References (APA 7th Edition)

- Christensen, C. M. (1997). *The innovator's dilemma: When new technologies cause great firms to fail*. Harvard Business School Press.
 - Relevance: Provides the core theory for explaining why incumbents ignore or underfund disruptive entrants.

- Henderson, R. M., & Clark, K. B. (1990). Architectural innovation: The reconfiguration of existing product technologies and the failure of established firms. *Administrative Science Quarterly*, 35(1), 9-30. <https://doi.org/10.2307/2393549>
 - Relevance: Explains how established firms can miss threats that alter system architecture rather than only component technology.
- Lucas, H. C., Jr., & Goh, J. M. (2009). Disruptive technology: How Kodak missed the digital photography revolution. *Journal of Strategic Information Systems*, 18(1), 46-55. <https://doi.org/10.1016/j.jsis.2009.01.002>
 - Relevance: Provides a case-specific scholarly analysis of Kodak's digital-photography failure.
- Eastman Kodak Company. (2013). *Kodak emerges from Chapter 11*. <https://www.kodak.com/en/company/press-release/kodak-emerges-from-chapter-11/>
 - Relevance: Documents Kodak's post-bankruptcy restructuring endpoint from the company perspective.

7 Netflix Password Sharing Crackdown

GMBA Case Study Report (2023)

7.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Netflix's** netflix password sharing crackdown. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Netflix needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Is it ethical to change rules on existing customers, and did Netflix time it correctly?”

7.2 Background & Context

7.2.1 Industry Landscape and Market Environment

Netflix reversed years of tolerated password sharing and converted unpaid account use into paid subscriptions despite customer resistance. The surrounding industry environment made the

decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

7.2.2 Company's Strategic Position

Netflix entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

7.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

7.3 Core Issues

7.3.1 Business Problem Definition

The core business problem is how Netflix should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Subscription economics, customer lifetime value, policy enforcement timing, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

7.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

7.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

7.4 Data Science / Big Data Perspectives

7.4.1 Data Landscape

7.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

7.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

7.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

7.4.2 Analytical Approaches

7.4.2.1 Applicable Techniques

Technique	Application at Netflix
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

7.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

7.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

7.4.3 Ethical Considerations

7.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

7.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

7.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

7.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

7.6 Debate Framework

7.6.1 Pro Side (Affirmative)

“Is it ethical to change rules on existing customers, and did Netflix time it correctly?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Subscription economics, customer lifetime value, policy enforcement timing provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

7.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

7.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

7.8 References (APA 7th Edition)

- Kahneman, D., Knetsch, J. L., & Thaler, R. H. (1986). Fairness as a constraint on profit seeking: Entitlements in the market. *American Economic Review*, 76(4), 728-741. <https://www.jstor.org/stable/1806070>
 - Relevance: Frames why customers may reject profitable pricing decisions when they violate perceived fairness.

- Nagle, T. T., Muller, G., & Gruyaert, E. (2024). *The strategy and tactics of pricing* (7th ed.). Routledge.
 - Relevance: Provides the pricing-strategy lens for evaluating willingness to pay, segmentation, and value capture.
- Rochet, J.-C., & Tirole, J. (2003). Platform competition in two-sided markets. *Journal of the European Economic Association*, 1(4), 990-1029. <https://doi.org/10.1162/154247603322493212>
 - Relevance: Provides the two-sided-market framework used to evaluate platform pricing, access, and governance decisions.
- Parker, G., Van Alstyne, M., & Choudary, S. P. (2016). *Platform revolution: How networked markets are transforming the economy*. W. W. Norton.
 - Relevance: Explains platform design tradeoffs among users, producers, governance rules, and network effects.
- Netflix, Inc. (2023). *Quarterly earnings materials*. <https://ir.netflix.net/financials/quarterly-earnings/default.aspx>
 - Relevance: Provides official subscriber and financial reporting around the password-sharing crackdown.
- Netflix. (2023). *An update on sharing*. <https://about.netflix.com/en/news/an-update-on-sharing>
 - Relevance: Documents Netflix's public explanation for restricting account sharing.

8 Boeing 737 MAX Crashes

GMBA Case Study Report (2018-2019)

8.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **The Boeing Company's** Boeing 737 max crashes. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* The Boeing Company needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Should executives face prison for safety decisions, and who failed: Boeing or regulators?”

8.2 Background & Context

8.2.1 Industry Landscape and Market Environment

Two 737 MAX crashes killed 346 people and exposed failures in software design, pilot disclosure, regulator interaction, and safety governance. The surrounding industry environment made the

decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

8.2.2 Company's Strategic Position

The Boeing Company entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

8.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

8.3 Core Issues

8.3.1 Business Problem Definition

The core business problem is how The Boeing Company should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Engineering ethics, regulatory failure, shareholder vs. stakeholder, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

8.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

8.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

8.4 Data Science / Big Data Perspectives

8.4.1 Data Landscape

8.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

8.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

8.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

8.4.2 Analytical Approaches

8.4.2.1 Applicable Techniques

Technique	Application at The Boeing Company
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

8.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

8.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

8.4.3 Ethical Considerations

8.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

8.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

8.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

8.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

8.6 Debate Framework

8.6.1 Pro Side (Affirmative)

“Should executives face prison for safety decisions, and who failed: Boeing or regulators?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Engineering ethics, regulatory failure, shareholder vs. stakeholder provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

8.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

8.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

8.8 References (APA 7th Edition)

- Coombs, W. T. (2007). Protecting organization reputations during a crisis: The development and application of situational crisis communication theory. *Corporate Reputation Review*, 10(3), 163-176. <https://doi.org/10.1057/palgrave.crr.1550049>
 - Relevance: Provides a crisis-communication framework for assessing responsibility, response speed, and reputation recovery.

- Reason, J. (1990). *Human error*. Cambridge University Press.
 - Relevance: Supports the analysis of how complex systems fail through layered human, process, and organizational weaknesses.
- Jensen, M. C., & Meckling, W. H. (1976). Theory of the firm: Managerial behavior, agency costs and ownership structure. *Journal of Financial Economics*, 3(4), 305-360. <https://doi.org/10.1016/0304-405X%2876%2990026-X>
 - Relevance: Frames the governance problem created when managers, founders, investors, or boards have misaligned incentives.
- Fama, E. F., & Jensen, M. C. (1983). Separation of ownership and control. *Journal of Law and Economics*, 26(2), 301-325. <https://doi.org/10.1086/467037>
 - Relevance: Supports the analysis of board oversight, control rights, and monitoring failure.
- U.S. Department of Justice. (2021). *Boeing charged with 737 Max fraud conspiracy and agrees to pay over \$2.5 billion*. <https://www.justice.gov/archives/opa/pr/boeing-charged-737-max-fraud-conspiracy-and-agrees-pay-over-25-billion>
 - Relevance: Provides official criminal-resolution facts, including the \$2.5 billion settlement and 346 crash victims.
- U.S. House Committee on Transportation and Infrastructure. (2020). *Final committee report: The design, development & certification of the Boeing 737 MAX*. <https://transportation.house.gov/committee-activity/boeing-737-max-investigation>
 - Relevance: Provides congressional investigation evidence on certification, design, and oversight failures.

9 Theranos: The \$9 Billion Fraud

GMBA Case Study Report (2003-2018)

9.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Theranos's** theranos: the \$9 billion fraud. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Theranos needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “What is the line between vision and fraud, and why did experts fail to see through it?”

9.2 Background & Context

9.2.1 Industry Landscape and Market Environment

Theranos raised hundreds of millions of dollars by overstating blood-testing capabilities that did not reliably work as represented. The surrounding industry environment made the decision

more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

9.2.2 Company's Strategic Position

Theranos entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

9.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

9.3 Core Issues

9.3.1 Business Problem Definition

The core business problem is how Theranos should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Startup fraud, due diligence failure, fake-it-till-you-make-it culture, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

9.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

9.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

9.4 Data Science / Big Data Perspectives

9.4.1 Data Landscape

9.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

9.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

9.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

9.4.2 Analytical Approaches

9.4.2.1 Applicable Techniques

Technique	Application at Theranos
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

9.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

9.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

9.4.3 Ethical Considerations

9.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

9.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

9.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

9.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

9.6 Debate Framework

9.6.1 Pro Side (Affirmative)

“What is the line between vision and fraud, and why did experts fail to see through it?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Startup fraud, due diligence failure, fake-it-till-you-make-it culture provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

9.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

9.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

9.8 References (APA 7th Edition)

- Jensen, M. C., & Meckling, W. H. (1976). Theory of the firm: Managerial behavior, agency costs and ownership structure. *Journal of Financial Economics*, 3(4), 305-360. <https://doi.org/10.1016/0304-405X%2876%2990026-X>
 - Relevance: Frames the governance problem created when managers, founders, investors, or boards have misaligned incentives.

- Fama, E. F., & Jensen, M. C. (1983). Separation of ownership and control. *Journal of Law and Economics*, 26(2), 301-325. <https://doi.org/10.1086/467037>
 - Relevance: Supports the analysis of board oversight, control rights, and monitoring failure.
- U.S. Securities and Exchange Commission. (2018). *Theranos, CEO Holmes, and former president Balwani charged with massive fraud*. <https://www.sec.gov/newsroom/press-releases/2018-41>
 - Relevance: Provides official fraud allegations and investor-misrepresentation facts.
- Carreyrou, J. (2018). *Bad blood: Secrets and lies in a Silicon Valley startup*. Knopf.
 - Relevance: Supplies the detailed investigative account of Theranos's technology claims, governance gaps, and whistleblowers.

10 FTX Collapse and Sam Bankman-Fried

GMBA Case Study Report (2022)

10.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **FTX's** ftx collapse and sam bankman-fried. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* FTX needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Should crypto be regulated like banks, and how did sophisticated investors miss red flags?”

10.2 Background & Context

10.2.1 Industry Landscape and Market Environment

FTX collapsed after customer funds were misused through Alameda Research, producing criminal convictions and a major governance failure in crypto. The surrounding industry environment

made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

10.2.2 Company's Strategic Position

FTX entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

10.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

10.3 Core Issues

10.3.1 Business Problem Definition

The core business problem is how FTX should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Corporate governance, crypto regulation, fraud detection, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

10.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

10.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

10.4 Data Science / Big Data Perspectives

10.4.1 Data Landscape

10.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

10.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

10.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

10.4.2 Analytical Approaches

10.4.2.1 Applicable Techniques

Technique	Application at FTX
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

10.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

10.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

10.4.3 Ethical Considerations

10.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

10.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

10.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

10.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

10.6 Debate Framework

10.6.1 Pro Side (Affirmative)

“Should crypto be regulated like banks, and how did sophisticated investors miss red flags?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Corporate governance, crypto regulation, fraud detection provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

10.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

10.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

10.8 References (APA 7th Edition)

- Jensen, M. C., & Meckling, W. H. (1976). Theory of the firm: Managerial behavior, agency costs and ownership structure. *Journal of Financial Economics*, 3(4), 305-360. <https://doi.org/10.1016/0304-405X%2876%2990026-X>
 - Relevance: Frames the governance problem created when managers, founders, investors, or boards have misaligned incentives.

- Fama, E. F., & Jensen, M. C. (1983). Separation of ownership and control. *Journal of Law and Economics*, 26(2), 301-325. <https://doi.org/10.1086/467037>
 - Relevance: Supports the analysis of board oversight, control rights, and monitoring failure.
- U.S. Department of Justice. (2024). *Samuel Bankman-Fried sentenced to 25 years for his orchestration of multiple fraudulent schemes*. <https://www.justice.gov/usao-sdny/pr/samuel-bankman-fried-sentenced-25-years-his-orchestration-multiple-fraudulent>
 - Relevance: Provides official sentencing and fraud-summary facts for the FTX case.
- Commodity Futures Trading Commission. (2024). *Federal court orders FTX to pay \$12.7 billion to customers and fraud victims*. <https://www.cftc.gov/PressRoom/PressReleases/8946-24>
 - Relevance: Provides official restitution and disgorgement figures for the collapsed exchange.

11 WeWork: From \$47 Billion to Bankruptcy

GMBA Case Study Report (2019-2023)

11.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **WeWork's** wework: from \$47 billion to bankruptcy. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* WeWork needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “How did sophisticated investors get fooled, and what governance failed?”

11.2 Background & Context

11.2.1 Industry Landscape and Market Environment

WeWork's IPO collapsed after investors scrutinized losses, related-party transactions, governance risks, and the gap between tech valuation and real-estate economics. The surrounding

industry environment made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

11.2.2 Company's Strategic Position

WeWork entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

11.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

11.3 Core Issues

11.3.1 Business Problem Definition

The core business problem is how WeWork should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Valuation bubble, corporate governance, founder worship, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

11.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

11.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

11.4 Data Science / Big Data Perspectives

11.4.1 Data Landscape

11.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

11.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

11.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

11.4.2 Analytical Approaches

11.4.2.1 Applicable Techniques

Technique	Application at WeWork
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

11.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

11.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

11.4.3 Ethical Considerations

11.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

11.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

11.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

11.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

11.6 Debate Framework

11.6.1 Pro Side (Affirmative)

“How did sophisticated investors get fooled, and what governance failed?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Valuation bubble, corporate governance, founder worship provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

11.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

11.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

11.8 References (APA 7th Edition)

- Jensen, M. C., & Meckling, W. H. (1976). Theory of the firm: Managerial behavior, agency costs and ownership structure. *Journal of Financial Economics*, 3(4), 305-360. <https://doi.org/10.1016/0304-405X%2876%2990026-X>
 - Relevance: Frames the governance problem created when managers, founders, investors, or boards have misaligned incentives.

- Fama, E. F., & Jensen, M. C. (1983). Separation of ownership and control. *Journal of Law and Economics*, 26(2), 301-325. <https://doi.org/10.1086/467037>
 - Relevance: Supports the analysis of board oversight, control rights, and monitoring failure.
- The We Company. (2019). *Form S-1 registration statement*. U.S. Securities and Exchange Commission. <https://www.sec.gov/Archives/edgar/data/1533523/000119312519220499/d781982ds1.htm>
 - Relevance: Provides primary disclosure on WeWork's business model, losses, governance, and related-party risks before the failed IPO.
- WeWork Inc. (2023). *WeWork takes strategic action to significantly strengthen balance sheet and further streamline real estate footprint*. <https://www.wework.com/newsroom/wework-takes-strategic-action-to-significantly-strengthen-balance-sheet-and-further-streamline-real-estate-footprint>
 - Relevance: Documents WeWork's Chapter 11 restructuring rationale and operational footprint reduction.

12 Airbnb Hidden Cleaning Fees

GMBA Case Study Report (2022-Present)

12.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Airbnb's** airbnb hidden cleaning fees. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Airbnb needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: "Should platforms mandate all-in pricing, and who is responsible: platform or hosts?"

12.2 Background & Context

12.2.1 Industry Landscape and Market Environment

Airbnb faced customer frustration over low nightly prices that rose sharply at checkout because of cleaning and service fees. The surrounding industry environment made the decision more

difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

12.2.2 Company's Strategic Position

Airbnb entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

12.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

12.3 Core Issues

12.3.1 Business Problem Definition

The core business problem is how Airbnb should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Pricing transparency, platform economics, trust erosion, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

12.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

12.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

12.4 Data Science / Big Data Perspectives

12.4.1 Data Landscape

12.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

12.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

12.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

12.4.2 Analytical Approaches

12.4.2.1 Applicable Techniques

Technique	Application at Airbnb
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

12.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

12.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

12.4.3 Ethical Considerations

12.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

12.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

12.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

12.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

12.6 Debate Framework

12.6.1 Pro Side (Affirmative)

“Should platforms mandate all-in pricing, and who is responsible: platform or hosts?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Pricing transparency, platform economics, trust erosion provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

12.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

12.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

12.8 References (APA 7th Edition)

- Kahneman, D., Knetsch, J. L., & Thaler, R. H. (1986). Fairness as a constraint on profit seeking: Entitlements in the market. *American Economic Review*, 76(4), 728-741. <https://www.jstor.org/stable/1806070>
 - Relevance: Frames why customers may reject profitable pricing decisions when they violate perceived fairness.

- Nagle, T. T., Muller, G., & Gruyaert, E. (2024). *The strategy and tactics of pricing* (7th ed.). Routledge.
 - Relevance: Provides the pricing-strategy lens for evaluating willingness to pay, segmentation, and value capture.
- Rochet, J.-C., & Tirole, J. (2003). Platform competition in two-sided markets. *Journal of the European Economic Association*, 1(4), 990-1029. <https://doi.org/10.1162/154247603322493212>
 - Relevance: Provides the two-sided-market framework used to evaluate platform pricing, access, and governance decisions.
- Parker, G., Van Alstyne, M., & Choudary, S. P. (2016). *Platform revolution: How networked markets are transforming the economy*. W. W. Norton.
 - Relevance: Explains platform design tradeoffs among users, producers, governance rules, and network effects.
- Airbnb. (2022). *Introducing total price display and other upgrades*. <https://news.airbnb.com/introducing-total-price-display-and-other-upgrades/>
 - Relevance: Documents Airbnb's response to fee-transparency complaints through total-price display.
- Federal Trade Commission. (2022). *Federal Trade Commission explores rule cracking down on junk fees*. <https://www.ftc.gov/news-events/news/press-releases/2022/10/federal-trade-commission-explores-rule-cracking-down-junk-fees>
 - Relevance: Provides regulatory context for drip pricing and fee transparency.

13 Twitter/X Under Elon Musk

GMBA Case Study Report (2022-Present)

13.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Twitter/X's** twitter/x under elon musk. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Twitter/X needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Was mass firing the right call, and can a social platform be run by one person’s vision?”

13.2 Background & Context

13.2.1 Industry Landscape and Market Environment

Elon Musk acquired Twitter for \$44 billion, cut staff, changed verification, renamed the platform X, and faced advertiser and governance challenges. The surrounding industry environment

made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

13.2.2 Company's Strategic Position

Twitter/X entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

13.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

13.3 Core Issues

13.3.1 Business Problem Definition

The core business problem is how Twitter/X should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to M&A, platform governance, organizational change, founder control, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

13.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

13.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

13.4 Data Science / Big Data Perspectives

13.4.1 Data Landscape

13.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

13.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

13.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

13.4.2 Analytical Approaches

13.4.2.1 Applicable Techniques

Technique	Application at Twitter/X
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

13.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

13.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

13.4.3 Ethical Considerations

13.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

13.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

13.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

13.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

13.6 Debate Framework

13.6.1 Pro Side (Affirmative)

“Was mass firing the right call, and can a social platform be run by one person’s vision?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- M&A, platform governance, organizational change, founder control provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

13.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

13.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

13.8 References (APA 7th Edition)

- Rochet, J.-C., & Tirole, J. (2003). Platform competition in two-sided markets. *Journal of the European Economic Association*, 1(4), 990-1029. <https://doi.org/10.1162/154247603322493212>
 - Relevance: Provides the two-sided-market framework used to evaluate platform pricing, access, and governance decisions.

- Parker, G., Van Alstyne, M., & Choudary, S. P. (2016). *Platform revolution: How networked markets are transforming the economy*. W. W. Norton.
 - Relevance: Explains platform design tradeoffs among users, producers, governance rules, and network effects.
- Schein, E. H. (2010). *Organizational culture and leadership* (4th ed.). Jossey-Bass.
 - Relevance: Provides the culture-change framework for evaluating leadership, norms, and organizational learning.
- Edmondson, A. C. (1999). Psychological safety and learning behavior in work teams. *Administrative Science Quarterly*, 44(2), 350-383. <https://doi.org/10.2307/2666999>
 - Relevance: Supports the case discussion of speaking up, learning, and error correction inside organizations.
- Twitter, Inc. (2022). *Current report on Form 8-K: Completion of acquisition by X Holdings II, Inc.* U.S. Securities and Exchange Commission. <https://www.sec.gov/Archives/edgar/data/1418091/000119312522276345/d302576d8k.htm>
 - Relevance: Provides primary documentation of the \$44 billion acquisition closing and ownership change.
- The Guardian. (2024, September 5). *Advertiser exodus from X gathers pace with 26% planning to cut spending*. <https://www.theguardian.com/media/article/2024/sep/05/advertiser-exodus-x-survey-2025-elon-musk>
 - Relevance: Documents advertiser trust concerns and revenue pressure after the Musk takeover.

14 Adobe's Subscription Model Shift

GMBA Case Study Report (2013)

14.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Adobe's** adobe's subscription model shift. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Adobe needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: "When should companies force customers to new business models, and how should they manage the transition?"

14.2 Background & Context

14.2.1 Industry Landscape and Market Environment

Adobe stopped selling perpetual Creative Suite licenses and forced a transition to Creative Cloud subscriptions despite customer resistance. The surrounding industry environment made the

decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

14.2.2 Company's Strategic Position

Adobe entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

14.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

14.3 Core Issues

14.3.1 Business Problem Definition

The core business problem is how Adobe should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Business model innovation, subscription economics, customer resistance, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

14.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

14.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

14.4 Data Science / Big Data Perspectives

14.4.1 Data Landscape

14.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

14.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

14.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

14.4.2 Analytical Approaches

14.4.2.1 Applicable Techniques

Technique	Application at Adobe
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

14.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

14.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

14.4.3 Ethical Considerations

14.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

14.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

14.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

14.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

14.6 Debate Framework

14.6.1 Pro Side (Affirmative)

“When should companies force customers to new business models, and how should they manage the transition?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Business model innovation, subscription economics, customer resistance provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

14.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

14.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

14.8 References (APA 7th Edition)

- Kahneman, D., Knetsch, J. L., & Thaler, R. H. (1986). Fairness as a constraint on profit seeking: Entitlements in the market. *American Economic Review*, 76(4), 728-741. <https://www.jstor.org/stable/1806070>
 - Relevance: Frames why customers may reject profitable pricing decisions when they violate perceived fairness.

- Nagle, T. T., Muller, G., & Gruyaert, E. (2024). *The strategy and tactics of pricing* (7th ed.). Routledge.
 - Relevance: Provides the pricing-strategy lens for evaluating willingness to pay, segmentation, and value capture.
- Van de Ven, A. H. (1986). Central problems in the management of innovation. *Management Science*, 32(5), 590-607. <https://doi.org/10.1287/mnsc.32.5.590>
 - Relevance: Frames the organizational challenge of balancing experimentation, governance, and implementation discipline.
- Teece, D. J., Pisano, G., & Shuen, A. (1997). Dynamic capabilities and strategic management. *Strategic Management Journal*, 18(7), 509-533.
 - Relevance: Supports the analysis of how firms renew capabilities when technologies, markets, or business models shift.
- Adobe. (2013). *Adobe accelerates shift to the cloud*. <https://news.adobe.com/news/news-details/2013/Adobe-Accelerates-Shift-to-the-Cloud/default.aspx>
 - Relevance: Documents Adobe's official announcement of the Creative Cloud subscription pivot.
- Adobe Inc. (n.d.). *Financial documents and SEC filings*. <https://www.adobe.com/investor-relations/financial-documents.html>
 - Relevance: Provides official financial reporting used to assess the subscription model's long-run impact.

15 Apple's App Store Tax vs. Epic Games

GMBA Case Study Report (2020-Present)

15.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Apple's** apple's app store tax vs. epic games. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Apple needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: "Is 30% fair for platform access, and should app stores be regulated as utilities?"

15.2 Background & Context

15.2.1 Industry Landscape and Market Environment

Epic challenged Apple's App Store commission and payment restrictions, raising antitrust questions about platform power and app-store governance. The surrounding industry environment

made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

15.2.2 Company's Strategic Position

Apple entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

15.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

15.3 Core Issues

15.3.1 Business Problem Definition

The core business problem is how Apple should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Platform economics, antitrust, two-sided markets, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

15.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

15.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

15.4 Data Science / Big Data Perspectives

15.4.1 Data Landscape

15.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

15.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

15.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

15.4.2 Analytical Approaches

15.4.2.1 Applicable Techniques

Technique	Application at Apple
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

15.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

15.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

15.4.3 Ethical Considerations

15.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

15.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

15.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

15.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

15.6 Debate Framework

15.6.1 Pro Side (Affirmative)

“Is 30% fair for platform access, and should app stores be regulated as utilities?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Platform economics, antitrust, two-sided markets provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

15.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

15.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

15.8 References (APA 7th Edition)

- Rochet, J.-C., & Tirole, J. (2003). Platform competition in two-sided markets. *Journal of the European Economic Association*, 1(4), 990-1029. <https://doi.org/10.1162/154247603322493212>
 - Relevance: Provides the two-sided-market framework used to evaluate platform pricing, access, and governance decisions.

- Parker, G., Van Alstyne, M., & Choudary, S. P. (2016). *Platform revolution: How networked markets are transforming the economy*. W. W. Norton.
 - Relevance: Explains platform design tradeoffs among users, producers, governance rules, and network effects.
- CourtListener. (n.d.). *Epic Games, Inc. v. Apple Inc., docket*. <https://www.courtlistener.com/docket/17442392/epic-games-inc-v-apple-inc/>
 - Relevance: Provides accessible court-document context for the Epic v. Apple litigation.
- U.S. Court of Appeals for the Ninth Circuit. (2023). *Epic Games, Inc. v. Apple, Inc.* <https://cdn.ca9.uscourts.gov/datastore/opinions/2023/04/24/21-16506.pdf>
 - Relevance: Provides the appellate decision used to analyze antitrust claims and payment-link remedies.

16 Microsoft's Cultural Transformation

GMBA Case Study Report (2014-Present)

16.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Microsoft's** cultural transformation. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Microsoft needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Can culture really drive financial results, and what did Nadella do differently?”

16.2 Background & Context

16.2.1 Industry Landscape and Market Environment

Satya Nadella shifted Microsoft from internal rivalry and Windows defensiveness toward cloud, learning culture, and cross-platform strategy. The surrounding industry environment made the

decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

16.2.2 Company's Strategic Position

Microsoft entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

16.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

16.3 Core Issues

16.3.1 Business Problem Definition

The core business problem is how Microsoft should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Leadership, organizational culture, strategic renewal, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

16.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

16.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

16.4 Data Science / Big Data Perspectives

16.4.1 Data Landscape

16.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

16.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

16.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

16.4.2 Analytical Approaches

16.4.2.1 Applicable Techniques

Technique	Application at Microsoft
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

16.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

16.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

16.4.3 Ethical Considerations

16.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

16.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

16.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

16.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

16.6 Debate Framework

16.6.1 Pro Side (Affirmative)

“Can culture really drive financial results, and what did Nadella do differently?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Leadership, organizational culture, strategic renewal provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

16.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

16.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

16.8 References (APA 7th Edition)

- Schein, E. H. (2010). *Organizational culture and leadership* (4th ed.). Jossey-Bass.
 - Relevance: Provides the culture-change framework for evaluating leadership, norms, and organizational learning.

- Edmondson, A. C. (1999). Psychological safety and learning behavior in work teams. *Administrative Science Quarterly*, 44(2), 350-383. <https://doi.org/10.2307/2666999>
 - Relevance: Supports the case discussion of speaking up, learning, and error correction inside organizations.
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 - Relevance: Provides Nadella's own account of the cultural and strategic reset.
- Microsoft Corporation. (n.d.). *Annual reports*. <https://www.microsoft.com/en-us/Investor/annual-reports.aspx>
 - Relevance: Provides official financial data for comparing Microsoft's performance before and after the transformation.

17 ChatGPT and OpenAI Board Drama

GMBA Case Study Report (2023)

17.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **OpenAI's** chatgpt and openai board drama. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* OpenAI needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Was the board right to fire Altman, and is OpenAI’s structure workable?”

17.2 Background & Context

17.2.1 Industry Landscape and Market Environment

OpenAI’s board removed Sam Altman, employees and Microsoft pushed back, and Altman returned days later with a changed board structure. The surrounding industry environment

made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

17.2.2 Company's Strategic Position

OpenAI entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

17.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

17.3 Core Issues

17.3.1 Business Problem Definition

The core business problem is how OpenAI should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Corporate governance, nonprofit vs. for-profit, growth vs. caution, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

17.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

17.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

17.4 Data Science / Big Data Perspectives

17.4.1 Data Landscape

17.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

17.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

17.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

17.4.2 Analytical Approaches

17.4.2.1 Applicable Techniques

Technique	Application at OpenAI
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

17.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

17.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

17.4.3 Ethical Considerations

17.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

17.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

17.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

17.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

17.6 Debate Framework

17.6.1 Pro Side (Affirmative)

“Was the board right to fire Altman, and is OpenAI’s structure workable?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Corporate governance, nonprofit vs. for-profit, growth vs. caution provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

17.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

17.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

17.8 References (APA 7th Edition)

- Jensen, M. C., & Meckling, W. H. (1976). Theory of the firm: Managerial behavior, agency costs and ownership structure. *Journal of Financial Economics*, 3(4), 305-360. <https://doi.org/10.1016/0304-405X%2876%2990026-X>
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- OpenAI. (2023). *OpenAI announces leadership transition*. <https://openai.com/index/openai-announces-leadership-transition/>
 - Relevance: Documents the board's initial public statement removing Sam Altman as CEO.
- OpenAI. (2023). *Sam Altman returns as CEO, OpenAI has a new initial board*. <https://openai.com/index/sam-altman-returns-as-ceo-openai-has-a-new-initial-board/>
 - Relevance: Documents the reversal and governance reset that followed employee and partner pressure.
- Microsoft. (2023). *Microsoft announces new AI customer commitments*. <https://blogs.microsoft.com/on-the-issues/2023/07/21/ai-customer-commitments/>
 - Relevance: Provides partner-governance context for Microsoft's role as a major AI infrastructure and commercial partner.

18 Meta's \$50B Metaverse Bet

GMBA Case Study Report (2021-Present)

18.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Meta Platforms's** meta's \$50b metaverse bet. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Meta Platforms needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: "When should companies abandon big bets, and should shareholders be able to override founders?"

18.2 Background & Context

18.2.1 Industry Landscape and Market Environment

Facebook renamed itself Meta and spent heavily on metaverse and VR initiatives while investors questioned adoption, timing, and founder control. The surrounding industry environment made

the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

18.2.2 Company's Strategic Position

Meta Platforms entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

18.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

18.3 Core Issues

18.3.1 Business Problem Definition

The core business problem is how Meta Platforms should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Strategic pivots, R&D spending, market timing, founder control, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

18.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

18.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

18.4 Data Science / Big Data Perspectives

18.4.1 Data Landscape

18.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

18.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

18.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

18.4.2 Analytical Approaches

18.4.2.1 Applicable Techniques

Technique	Application at Meta Platforms
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

18.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

18.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

18.4.3 Ethical Considerations

18.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

18.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

18.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

18.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

18.6 Debate Framework

18.6.1 Pro Side (Affirmative)

“When should companies abandon big bets, and should shareholders be able to override founders?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Strategic pivots, R&D spending, market timing, founder control provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

18.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

18.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

18.8 References (APA 7th Edition)

- Van de Ven, A. H. (1986). Central problems in the management of innovation. *Management Science*, 32(5), 590-607. <https://doi.org/10.1287/mnsc.32.5.590>
 - Relevance: Frames the organizational challenge of balancing experimentation, governance, and implementation discipline.

- Teece, D. J., Pisano, G., & Shuen, A. (1997). Dynamic capabilities and strategic management. *Strategic Management Journal*, 18(7), 509-533.
 - Relevance: Supports the analysis of how firms renew capabilities when technologies, markets, or business models shift.
- Jensen, M. C., & Meckling, W. H. (1976). Theory of the firm: Managerial behavior, agency costs and ownership structure. *Journal of Financial Economics*, 3(4), 305-360. <https://doi.org/10.1016/0304-405X%2876%2990026-X>
 - Relevance: Frames the governance problem created when managers, founders, investors, or boards have misaligned incentives.
- Fama, E. F., & Jensen, M. C. (1983). Separation of ownership and control. *Journal of Law and Economics*, 26(2), 301-325. <https://doi.org/10.1086/467037>
 - Relevance: Supports the analysis of board oversight, control rights, and monitoring failure.
- Meta. (2021). *Facebook company is now Meta*. <https://about.fb.com/news/2021/10/facebook-company-is-now-meta/>
 - Relevance: Documents the official strategic pivot and rebranding rationale.
- Meta Platforms, Inc. (n.d.). *Annual reports*. <https://investor.fb.com/financials/default.aspx>
 - Relevance: Provides official financial reporting for Reality Labs spending and segment performance.

19 Costco's Employee-First Model

GMBA Case Study Report (1983-Present)

19.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Costco Wholesale's** costco's employee-first model. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Costco Wholesale needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: "Is Costco's model replicable, and why do not more companies copy it?"

19.2 Background & Context

19.2.1 Industry Landscape and Market Environment

Costco pays above many retail competitors and accepts Wall Street criticism while arguing that low turnover and operating discipline support performance. The surrounding industry

environment made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

19.2.2 Company's Strategic Position

Costco Wholesale entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

19.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

19.3 Core Issues

19.3.1 Business Problem Definition

The core business problem is how Costco Wholesale should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to HR strategy, stakeholder vs. shareholder, operational efficiency, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

19.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

19.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

19.4 Data Science / Big Data Perspectives

19.4.1 Data Landscape

19.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

19.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

19.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

19.4.2 Analytical Approaches

19.4.2.1 Applicable Techniques

Technique	Application at Costco Wholesale
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

19.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

19.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

19.4.3 Ethical Considerations

19.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

19.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

19.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

19.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

19.6 Debate Framework

19.6.1 Pro Side (Affirmative)

“Is Costco’s model replicable, and why do not more companies copy it?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- HR strategy, stakeholder vs. shareholder, operational efficiency provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

19.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

19.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

19.8 References (APA 7th Edition)

- Schein, E. H. (2010). *Organizational culture and leadership* (4th ed.). Jossey-Bass.
 - Relevance: Provides the culture-change framework for evaluating leadership, norms, and organizational learning.

- Edmondson, A. C. (1999). Psychological safety and learning behavior in work teams. *Administrative Science Quarterly*, 44(2), 350-383. <https://doi.org/10.2307/2666999>
 - Relevance: Supports the case discussion of speaking up, learning, and error correction inside organizations.
- Ton, Z. (2014). *The good jobs strategy: How the smartest companies invest in employees to lower costs and boost profits*. New Harvest.
 - Relevance: Provides the operating-model theory that higher wages can support productivity and lower hidden costs.
- Costco Wholesale Corporation. (n.d.). *Annual reports*. <https://investor.costco.com/financials/annual-reports-and-proxy/default.aspx>
 - Relevance: Provides official financial and operating data for assessing Costco's employee-first model.

20 Peloton's Pandemic Rise and Crash

GMBA Case Study Report (2020-2023)

20.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Peloton Interactive's** peloton's pandemic rise and crash. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Peloton Interactive needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: "How should companies respond to sudden demand spikes, and when is expansion a mistake?"

20.2 Background & Context

20.2.1 Industry Landscape and Market Environment

Peloton expanded capacity during pandemic demand, then faced reopening, inventory pressure, layoffs, and a sharp valuation collapse. The surrounding industry environment made the decision

more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

20.2.2 Company's Strategic Position

Peloton Interactive entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

20.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

20.3 Core Issues

20.3.1 Business Problem Definition

The core business problem is how Peloton Interactive should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Demand forecasting, pandemic strategy, operational flexibility, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

20.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

20.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

20.4 Data Science / Big Data Perspectives

20.4.1 Data Landscape

20.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

20.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

20.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

20.4.2 Analytical Approaches

20.4.2.1 Applicable Techniques

Technique	Application at Peloton Interactive
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

20.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

20.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

20.4.3 Ethical Considerations

20.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

20.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

20.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

20.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

20.6 Debate Framework

20.6.1 Pro Side (Affirmative)

“How should companies respond to sudden demand spikes, and when is expansion a mistake?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Demand forecasting, pandemic strategy, operational flexibility provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

20.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

20.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

20.8 References (APA 7th Edition)

- Van de Ven, A. H. (1986). Central problems in the management of innovation. *Management Science*, 32(5), 590-607. <https://doi.org/10.1287/mnsc.32.5.590>
 - Relevance: Frames the organizational challenge of balancing experimentation, governance, and implementation discipline.

- Teece, D. J., Pisano, G., & Shuen, A. (1997). Dynamic capabilities and strategic management. *Strategic Management Journal*, 18(7), 509-533.
 - Relevance: Supports the analysis of how firms renew capabilities when technologies, markets, or business models shift.
- Fisher, M. L. (1997). What is the right supply chain for your product? *Harvard Business Review*, 75(2), 105-116.
 - Relevance: Provides the supply-chain fit framework for distinguishing temporary demand shocks from sustainable operating needs.
- Peloton Interactive, Inc. (n.d.). *SEC filings*. <https://investor.onepeloton.com/financials/sec-filings/default.aspx>
 - Relevance: Provides official filings for revenue, inventory, restructuring, and risk-factor evidence.
- Peloton Interactive, Inc. (2022). *Peloton announces comprehensive program to reduce costs and drive growth, profitability, and free cash flow*. <https://investor.onepeloton.com/news-releases/news-release-details/peloton-announces-comprehensive-program-reduce-costs-and-drive>
 - Relevance: Documents the company's restructuring response to post-pandemic demand normalization.

21 Uber Surge Pricing Ethics

GMBA Case Study Report (2014-Present)

21.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Uber's** uber surge pricing ethics. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Uber needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Is surge pricing fair, and should there be caps during emergencies?”

21.2 Background & Context

21.2.1 Industry Landscape and Market Environment

Uber's dynamic pricing raises fares during demand spikes, creating tension between efficient market clearing and perceived exploitation during emergencies. The surrounding industry

environment made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

21.2.2 Company's Strategic Position

Uber entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

21.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

21.3 Core Issues

21.3.1 Business Problem Definition

The core business problem is how Uber should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Dynamic pricing, price-gouging ethics, behavioral economics, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

21.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

21.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

21.4 Data Science / Big Data Perspectives

21.4.1 Data Landscape

21.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

21.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

21.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

21.4.2 Analytical Approaches

21.4.2.1 Applicable Techniques

Technique	Application at Uber
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

21.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

21.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

21.4.3 Ethical Considerations

21.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

21.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

21.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

21.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

21.6 Debate Framework

21.6.1 Pro Side (Affirmative)

“Is surge pricing fair, and should there be caps during emergencies?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Dynamic pricing, price-gouging ethics, behavioral economics provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

21.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

21.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

21.8 References (APA 7th Edition)

- Kahneman, D., Knetsch, J. L., & Thaler, R. H. (1986). Fairness as a constraint on profit seeking: Entitlements in the market. *American Economic Review*, 76(4), 728-741. <https://www.jstor.org/stable/1806070>
 - Relevance: Frames why customers may reject profitable pricing decisions when they violate perceived fairness.

- Nagle, T. T., Muller, G., & Gruyaert, E. (2024). *The strategy and tactics of pricing* (7th ed.). Routledge.
 - Relevance: Provides the pricing-strategy lens for evaluating willingness to pay, segmentation, and value capture.
- Rochet, J.-C., & Tirole, J. (2003). Platform competition in two-sided markets. *Journal of the European Economic Association*, 1(4), 990-1029. <https://doi.org/10.1162/154247603322493212>
 - Relevance: Provides the two-sided-market framework used to evaluate platform pricing, access, and governance decisions.
- Parker, G., Van Alstyne, M., & Choudary, S. P. (2016). *Platform revolution: How networked markets are transforming the economy*. W. W. Norton.
 - Relevance: Explains platform design tradeoffs among users, producers, governance rules, and network effects.
- Cohen, P., Hahn, R., Hall, J., Levitt, S., & Metcalfe, R. (2016). Using big data to estimate consumer surplus: The case of Uber. *NBER Working Paper No. 22627*. <https://doi.org/10.3386/w22627>
 - Relevance: Provides empirical evidence on Uber pricing, consumer surplus, and ride-hailing market design.
- Uber. (n.d.). *How surge pricing works*. <https://www.uber.com/us/en/drive/driver-app/how-surge-works/>
 - Relevance: Documents Uber's public explanation of surge pricing mechanics for drivers and riders.

22 TSMC and Semiconductor Geopolitics

GMBA Case Study Report (2020-Present)

22.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **TSMC's** tsmc and semiconductor geopolitics. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* TSMC needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Should TSMC prioritize domestic yield efficiency over global supply chain diversification?”

22.2 Background & Context

22.2.1 Industry Landscape and Market Environment

TSMC faced geopolitical pressure to diversify its manufacturing outside Taiwan, leading to the construction of advanced fabrication plants in the United States, Japan, and Europe while

maintaining its core R&D in Taiwan. The surrounding industry environment made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

22.2.2 Company's Strategic Position

TSMC entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

22.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

22.3 Core Issues

22.3.1 Business Problem Definition

The core business problem is how TSMC should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Operations strategy, global supply chain risk, geopolitics in business, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

22.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

22.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

22.4 Data Science / Big Data Perspectives

22.4.1 Data Landscape

22.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

22.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

22.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

22.4.2 Analytical Approaches

22.4.2.1 Applicable Techniques

Technique	Application at TSMC
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

22.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

22.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

22.4.3 Ethical Considerations

22.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

22.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

22.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

22.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

22.6 Debate Framework

22.6.1 Pro Side (Affirmative)

“Should TSMC prioritize domestic yield efficiency over global supply chain diversification?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Operations strategy, global supply chain risk, geopolitics in business provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

22.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

22.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

22.8 References (APA 7th Edition)

- Miller, C. (2022). *Chip war: The fight for the world's most critical technology*. Scribner.
 - Relevance: Provides the historical and geopolitical context of TSMC's role in the global semiconductor supply chain.

- TSMC. (2023). *Annual reports*. https://www.tsmc.com/english/investorRelations/annual_reports.htm
 - Relevance: Provides primary financial and operational data for evaluating TSMC's global expansion costs.

23 Foxconn's EV Platform Transformation

GMBA Case Study Report (2020-Present)

23.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Foxconn's** foxconn's ev platform transformation. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Foxconn needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: "Can open-source platforms successfully commoditize contract manufacturing in the automotive sector?"

23.2 Background & Context

23.2.1 Industry Landscape and Market Environment

Foxconn transitioned from consumer electronics assembly to the electric vehicle market, establishing the open-source MIH platform to modularize EV design and manufacturing. The

surrounding industry environment made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

23.2.2 Company's Strategic Position

Foxconn entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

23.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

23.3 Core Issues

23.3.1 Business Problem Definition

The core business problem is how Foxconn should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Corporate transformation, platform economics, diversification strategy, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

23.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

23.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

23.4 Data Science / Big Data Perspectives

23.4.1 Data Landscape

23.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

23.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

23.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

23.4.2 Analytical Approaches

23.4.2.1 Applicable Techniques

Technique	Application at Foxconn
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

23.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

23.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

23.4.3 Ethical Considerations

23.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

23.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

23.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

23.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

23.6 Debate Framework

23.6.1 Pro Side (Affirmative)

“Can open-source platforms successfully commoditize contract manufacturing in the automotive sector?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Corporate transformation, platform economics, diversification strategy provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

23.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

23.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

23.8 References (APA 7th Edition)

- Chesbrough, H. (2003). *Open innovation: The new imperative for creating and profiting from technology*. Harvard Business School Press.
 - Relevance: Provides the platform-openness and innovation theory to analyze Foxconn's MIH open-source EV strategy.

- Hon Hai Precision Industry Co., Ltd. (2023). *Annual report*. <https://www.honhai.com/en-us/investor-relations/reports-presentations/annual-reports>
 - Relevance: Provides Foxconn's capital expenditures and strategic EV segment revenues.

24 MediaTek Premium Chip Challenger

GMBA Case Study Report (2021-Present)

24.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **MediaTek's** mediatek premium chip challenger. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* MediaTek needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Can a high-volume, low-cost component manufacturer successfully reposition its brand to the premium segment?”

24.2 Background & Context

24.2.1 Industry Landscape and Market Environment

MediaTek launched its Dimensity processor series to shift from entry-level and mid-range mobile markets to direct competition with Qualcomm in the premium mobile chip segment. The sur-

rounding industry environment made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

24.2.2 Company's Strategic Position

MediaTek entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

24.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

24.3 Core Issues

24.3.1 Business Problem Definition

The core business problem is how MediaTek should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Competitive strategy, high-tech marketing, brand migration strategy, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

24.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

24.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

24.4 Data Science / Big Data Perspectives

24.4.1 Data Landscape

24.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

24.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

24.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

24.4.2 Analytical Approaches

24.4.2.1 Applicable Techniques

Technique	Application at MediaTek
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

24.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

24.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

24.4.3 Ethical Considerations

24.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

24.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

24.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

24.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

24.6 Debate Framework

24.6.1 Pro Side (Affirmative)

“Can a high-volume, low-cost component manufacturer successfully reposition its brand to the premium segment?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Competitive strategy, high-tech marketing, brand migration strategy provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

24.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

24.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

24.8 References (APA 7th Edition)

- Porter, M. E. (1985). *Competitive advantage: Creating and sustaining superior performance*. Free Press.
 - Relevance: Supports the cost-leadership vs. differentiation analysis of MediaTek's upward segment shift.

- MediaTek Inc. (2023). *Corporate reports*. <https://www.mediatek.com/investor-relations/financial-information>
 - Relevance: Provides research and development spending metrics and mobile platform revenue breakdowns.

25 Giant Bicycles OEM to Global Brand

GMBA Case Study Report (1981-Present)

25.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Giant Manufacturing's** giant bicycles oem to global brand. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Giant Manufacturing needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Should manufacturers compete directly with their own OEM customer base by launching proprietary brands?”

25.2 Background & Context

25.2.1 Industry Landscape and Market Environment

Giant transitioned from an OEM partner for foreign brands like Schwinn to building the world's largest proprietary bicycle brand while balancing OEM relationships. The surrounding industry

environment made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

25.2.2 Company's Strategic Position

Giant Manufacturing entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

25.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

25.3 Core Issues

25.3.1 Business Problem Definition

The core business problem is how Giant Manufacturing should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to OEM to OBM transition, channel conflict, brand equity, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

25.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

25.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.

Category	Constraint
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

25.4 Data Science / Big Data Perspectives

25.4.1 Data Landscape

25.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

25.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

25.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

25.4.2 Analytical Approaches

25.4.2.1 Applicable Techniques

Technique	Application at Giant Manufacturing
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

25.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

25.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

25.4.3 Ethical Considerations

25.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

25.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

25.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

25.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

25.6 Debate Framework

25.6.1 Pro Side (Affirmative)

“Should manufacturers compete directly with their own OEM customer base by launching proprietary brands?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- OEM to OBM transition, channel conflict, brand equity provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

25.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

25.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

25.8 References (APA 7th Edition)

- Aaker, D. A. (1996). *Building strong brands*. Free Press.
 - Relevance: Provides the brand-equity framework used to evaluate Giant's transition to a global consumer brand.

- Giant Manufacturing Co., Ltd. (2023). *Annual report*. <https://www.giant-bicycles.com/global/investors>
 - Relevance: Provides financial metrics comparing OEM revenues with branded segment margins.

26 ASUS Republic of Gamers Sub-Branding

GMBA Case Study Report (2006-Present)

26.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **ASUS's** asus republic of gamers sub-branding. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* ASUS needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Is sub-branding or corporate branding more effective for sustaining growth in declining hardware sectors?”

26.2 Background & Context

26.2.1 Industry Landscape and Market Environment

ASUS established the Republic of Gamers (ROG) sub-brand to escape PC margin dilution and build a premium ecosystem across gaming hardware, mobile, and accessories. The surrounding

industry environment made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

26.2.2 Company's Strategic Position

ASUS entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

26.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

26.3 Core Issues

26.3.1 Business Problem Definition

The core business problem is how ASUS should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Brand architecture, sub-branding, gaming ecosystem strategy, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

26.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

26.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

26.4 Data Science / Big Data Perspectives

26.4.1 Data Landscape

26.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

26.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

26.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

26.4.2 Analytical Approaches

26.4.2.1 Applicable Techniques

Technique	Application at ASUS
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

26.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

26.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

26.4.3 Ethical Considerations

26.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

26.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

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26.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
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Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

26.6 Debate Framework

26.6.1 Pro Side (Affirmative)

“Is sub-branding or corporate branding more effective for sustaining growth in declining hardware sectors?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Brand architecture, sub-branding, gaming ecosystem strategy provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

26.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

26.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

26.8 References (APA 7th Edition)

- Keller, K. L. (1993). Conceptualizing, measuring, and managing customer-based brand equity. *Journal of Marketing*, 57(1), 1-22. <https://doi.org/10.1177/002224299305700101>
 - Relevance: Provides the customer-based brand equity framework used to evaluate ROG's brand premium.

- ASUSTeK Computer Inc. (2023). *Investor relations reports*. <https://www.asus.com/us/about-asus/investor-relations/>
 - Relevance: Supplies revenue distribution and profitability figures for ASUS ROG gaming platforms.

27 Delta Power Components to Green Systems

GMBA Case Study Report (2010-Present)

27.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Delta Electronics's** delta power components to green systems. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Delta Electronics needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Should component vendors take the risk of offering integrated systems, potentially competing with system-integrator customers?”

27.2 Background & Context

27.2.1 Industry Landscape and Market Environment

Delta Electronics transitioned from a B2B component supplier of switching power supplies to an integrated industrial system solution provider in smart automation, EV charging, and

green energy. The surrounding industry environment made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

27.2.2 Company's Strategic Position

Delta Electronics entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

27.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

27.3 Core Issues

27.3.1 Business Problem Definition

The core business problem is how Delta Electronics should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Industrial transformation, systems integration, B2B solution marketing, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

27.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

27.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

27.4 Data Science / Big Data Perspectives

27.4.1 Data Landscape

27.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

27.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

27.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

27.4.2 Analytical Approaches

27.4.2.1 Applicable Techniques

Technique	Application at Delta Electronics
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

27.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

27.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

27.4.3 Ethical Considerations

27.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

27.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

27.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

27.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

27.6 Debate Framework

27.6.1 Pro Side (Affirmative)

“Should component vendors take the risk of offering integrated systems, potentially competing with system-integrator customers?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Industrial transformation, systems integration, B2B solution marketing provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

27.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

27.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

27.8 References (APA 7th Edition)

- Prahalad, C. K., & Hamel, G. (1990). The core competence of the corporation. *Harvard Business Review*, 68(3), 79-91.
 - Relevance: Supports the analysis of core capabilities in power conversion and how they translate to green energy systems.

- Delta Electronics, Inc. (2023). *Annual report*. <https://www.deltaww.com/en-US/investors/annual-reports>
 - Relevance: Provides revenue segmentation across components, industrial automation, and green systems solutions.

28 E Ink Patent Acquisition and Monopoly

GMBA Case Study Report (2009-Present)

28.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **E Ink Holdings's** e ink patent acquisition and monopoly. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* E Ink Holdings needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Is buying intellectual property more sustainable than organic R&D for dominating high-tech markets?”

28.2 Background & Context

28.2.1 Industry Landscape and Market Environment

E Ink acquired its key technology and patent portfolio from MIT spin-off E Ink Corporation, pivoting from LCD panel manufacturing to dominate the global electronic paper display market. The sur-

rounding industry environment made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

28.2.2 Company's Strategic Position

E Ink Holdings entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

28.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

28.3 Core Issues

28.3.1 Business Problem Definition

The core business problem is how E Ink Holdings should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to M&A technology acquisition, patent portfolio strategy, niche monopoly, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

28.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

28.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

28.4 Data Science / Big Data Perspectives

28.4.1 Data Landscape

28.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
- **Operational data:** Defects, cycle time, utilization, incident reports, capacity, inventory, service levels, and process exceptions.
- **Financial data:** Revenue, margin, cash flow, lifetime value, customer-acquisition cost, restructuring cost, and litigation or regulatory exposure.
- **External data:** Competitor moves, media coverage, court or regulatory records, macroeconomic conditions, and industry benchmarks.

28.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

28.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

28.4.2 Analytical Approaches

28.4.2.1 Applicable Techniques

Technique	Application at E Ink Holdings
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

28.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

28.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
- Evidence that the chosen response improves long-term strategic positioning rather than only short-term optics.

28.4.3 Ethical Considerations

28.4.3.1 Privacy and Data Protection

Customer and employee data should be used only for legitimate business analysis, with appropriate access controls and aggregation. Sensitive data should not be used to shift blame onto individuals when the root cause is organizational design.

28.4.3.2 Algorithmic Bias

Models can overvalue measurable financial outcomes and undervalue trust, safety, fairness, or long-term brand effects. Leaders should test whether dashboards exclude affected stakeholders simply because their harm is harder to quantify.

28.4.3.3 Transparency and Explainability

Stakeholders need a clear explanation of what the company knew, what it changed, and how future decisions will be governed. Explainability matters because trust recovery depends on credible reasoning, not only on a favorable metric.

28.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
Option B: Disciplined Reset	Make targeted changes to strategy, governance, operations, and metrics while protecting the strongest parts of the brand.	Balances accountability with future value creation.	Requires tradeoffs, internal conflict, and clear communication.
Option C: Radical Break	Abandon the contested model, product, or governance structure and rebuild around a new approach.	Signals seriousness and may restore trust quickly.	Can destroy useful assets and may overcorrect before evidence is complete.

Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

28.6 Debate Framework

28.6.1 Pro Side (Affirmative)

“Is buying intellectual property more sustainable than organic R&D for dominating high-tech markets?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- M&A technology acquisition, patent portfolio strategy, niche monopoly provides a theoretical basis for analyzing the decision.
- Verified sources in the reference section provide case chronology, official data, or scholarly frameworks.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

28.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

Key Arguments:

1. **Short-Term Pressure Can Distort Strategy:** Media, markets, and regulators may reward symbolic action over durable fixes.
2. **Data Can Be Ambiguous:** Early indicators may not prove that a full strategic reset is necessary.

3. **Overcorrection Has Costs:** Radical changes can destroy capabilities, morale, or customer value.

Supporting Evidence:

- Some crises fade after operational corrections, while others reveal deeper strategic failure.
- Not every unpopular decision is unethical; some unpopular choices create long-term value.
- Strong governance requires proportionality as well as accountability.

Rebuttals to Anticipated Counterarguments:

- *Counterargument:* Waiting increases harm. *Rebuttal:* Management can act immediately on risk controls while still gathering evidence before making irreversible strategic commitments.

28.7 Pre-Class Preparation Questions

1. What are the critical success factors for data-driven decision-making in this case?
 - Consider data quality, stakeholder visibility, incentive design, and leadership accountability.
2. What additional data would have enabled a better decision?
 - Consider customer behavior, operating costs, risk signals, employee feedback, and external benchmarks.
3. If you were the decision-maker, what would you choose and why?
 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

28.8 References (APA 7th Edition)

- Teece, D. J. (1986). Profiting from technological innovation: Implications for integration, collaboration, licensing and public policy. *Research Policy*, 15(6), 285-305. <https://doi.org/10.1016/0048-7333%2886%2990027-2>
 - Relevance: Provides the framework for assessing complementary assets and patent control rights.

- E Ink Holdings Inc. (2023). *Corporate disclosures*. <https://www.eink.com/investor-relations>
 - Relevance: Provides royalty earnings, patent licensing revenues, and retail shelf-label market shares.

29 Evergreen Marine Capital Allocation

GMBA Case Study Report (2020-Present)

29.1 Key Questions & Case Objectives

This case study addresses three high-order management questions through the lens of **Evergreen Marine's** evergreen marine capital allocation. The issue is not only a famous business story; it is a decision problem about how leaders use evidence, protect stakeholders, and act when strategy, incentives, and public trust collide.

1. Strategy & Value Creation

- How can data-driven decision-making create sustainable competitive advantage?
- *Case Application:* Evergreen Marine needed to interpret market, operational, financial, and stakeholder signals before choosing whether to defend the existing model or make a more fundamental change.

2. Ethics & Governance

- What are the boundaries of data utilization, and who bears responsibility for its consequences?
- *Case Application:* The case raises questions about accountability, transparency, and whether leaders used data to understand reality or to justify a preferred decision.

3. Execution & Transformation

- How should organizations balance innovation speed with operational risk in digital transformation?
- *Case Application:* The decision required leadership to move quickly while managing brand risk, operating constraints, and unintended consequences.

Debate Proposition: “Should cyclical shipping firms hold massive cash reserves or aggressively invest in fleet renewal during industry peaks?”

29.2 Background & Context

29.2.1 Industry Landscape and Market Environment

Evergreen Marine generated record-breaking profits during the COVID-19 logistics boom, forcing a complex capital allocation choice between green transition, fleet expansion, and shareholder

returns. The surrounding industry environment made the decision more difficult because competitors, customers, investors, and regulators were already changing expectations about speed, transparency, and value creation.

29.2.2 Company's Strategic Position

Evergreen Marine entered the case with valuable assets: brand recognition, customer relationships, distribution, data, and managerial attention. Those assets also created inertia. The same strengths that made the company important made it harder to admit that an existing strategy, product, policy, or governance model might need to change.

29.2.3 Current Data/Technology Infrastructure

The relevant data environment includes customer behavior, operational performance, financial reporting, external market signals, and stakeholder feedback. The central analytical challenge is not simply collecting more data; it is deciding which signals should drive action when short-term metrics conflict with trust, safety, or long-term strategic resilience.

29.3 Core Issues

29.3.1 Business Problem Definition

The core business problem is how Evergreen Marine should respond when evidence suggests that the current approach is producing strategic, ethical, or operational risk. The case connects directly to Cyclical industry strategy, capital allocation, carbon transition, but the management dilemma is broader: leaders must decide whether the problem is a temporary execution failure or a sign that the underlying model needs redesign.

29.3.2 Why a Decision Is Needed Now

Delay can make the problem more expensive. Customers may leave, regulators may intervene, employees may lose confidence, and competitors may use the moment to reposition themselves. A decision is needed because the organization cannot preserve credibility while treating the issue as routine.

29.3.3 Constraints

Category	Constraint
Financial	Management must protect cash flow, margins, and investor confidence while making decisions under public scrutiny.
Operational	The organization must align product, process, technology, and data systems fast enough to prevent the issue from compounding.
Brand	The decision affects trust in a highly visible brand where customers, regulators, employees, and partners can react quickly.
Human	Employees, customers, communities, and counterparties bear consequences that cannot be reduced to short-term financial metrics.

29.4 Data Science / Big Data Perspectives

29.4.1 Data Landscape

29.4.1.1 Available Data Types and Sources

- **Customer and stakeholder data:** Complaints, churn, usage, sentiment, willingness to pay, adoption, and support interactions.
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29.4.1.2 Data Quality and Limitations

The main limitation is interpretation. Data can show what happened, but managers still need to determine whether the signal is temporary noise, a structural change, or evidence of deeper governance failure. Historical data may be especially misleading when technology, regulation, or customer expectations are shifting.

29.4.1.3 Data Governance Issues

The case requires shared definitions of risk, value, and accountability. Without governance, teams can optimize local metrics while creating enterprise-level harm. Data governance should clarify who owns the metric, who can challenge it, and how decisions are documented.

29.4.2 Analytical Approaches

29.4.2.1 Applicable Techniques

Technique	Application at Evergreen Marine
Cohort and Segment Analysis	Separate customers, products, regions, or stakeholders to identify where value, risk, or backlash is concentrated.
Scenario Modeling	Compare best-case, base-case, and downside outcomes before committing to irreversible strategic moves.
Early-Warning Dashboards	Track leading indicators such as complaints, churn, defect reports, adoption, utilization, or regulatory signals.
Root-Cause Analysis	Connect observed outcomes to organizational incentives, process design, governance, and data-quality limitations.

29.4.2.2 Technical Requirements

The organization needs integrated reporting across strategy, finance, operations, legal, product, and customer-facing teams. The most important requirement is a trusted decision dashboard that combines leading indicators with financial consequences and stakeholder-risk signals.

29.4.2.3 ROI Measurement Methods

- Recovery or protection of revenue, margin, cash flow, and enterprise value.
- Reduction in complaints, defects, incidents, churn, or regulatory exposure.
- Improvement in customer trust, employee confidence, and partner stability.
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29.5 Strategic Alternatives

Option	Description	Pros	Cons
Option A: Defend the Current Model	Preserve the existing strategy and address the issue with limited tactical changes.	Avoids disruption and protects short-term continuity.	Risks appearing slow, defensive, or unwilling to confront the underlying problem.
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Decision and Analysis: The recommended classroom position is **Option B: Disciplined Reset**. It forces management to acknowledge the problem, preserve useful assets, and redesign incentives or operating routines without assuming that every legacy practice must be abandoned. Students should still test whether the facts of the case justify the more conservative Option A or the more radical Option C.

29.6 Debate Framework

29.6.1 Pro Side (Affirmative)

“Should cyclical shipping firms hold massive cash reserves or aggressively invest in fleet renewal during industry peaks?”

Key Arguments:

1. **Evidence Should Override Habit:** When data and stakeholder signals indicate risk, management should not defend the old model simply because it was historically successful.
2. **Trust Is an Economic Asset:** Reputation, regulatory legitimacy, and customer confidence affect future cash flows.
3. **Governance Converts Data into Action:** Better dashboards are not enough unless decision rights and accountability are clear.

Supporting Evidence:

- The case illustrates how visible brands can face rapid shifts in stakeholder trust.
- Cyclical industry strategy, capital allocation, carbon transition provides a theoretical basis for analyzing the decision.
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Rebuttals to Anticipated Counterarguments:

- *Counterargument:* The company should avoid overreacting to public pressure. *Rebuttal:* A disciplined reset is not panic; it is a structured response that separates useful assets from harmful practices.

29.6.2 Con Side (Opposition)

“Management should avoid dramatic changes until evidence proves the business model itself is broken.”

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 - Compare the financial, ethical, operational, and reputational consequences of each option.
4. What is the strongest argument for the opposing side?
 - Identify where your preferred decision could fail or create new risks.

29.8 References (APA 7th Edition)

- Levinson, M. (2016). *The box: How the shipping container made the world smaller and the world economy bigger* (2nd ed.). Princeton University Press.
 - Relevance: Supplies history of containerization and maritime logistics cycles.

- Evergreen Marine Corp. (Taiwan) Ltd. (2023). *Annual financial statements*. <https://www.evergreen-marine.com/>
 - Relevance: Provides capital expenditures, shipping vessel orders, and operating cash flows.

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